

GENERAL TERMS & CONDITIONS IN CASE OF ENQUIRY / ORDER

1.0 DEFINITION

"PURCHASER" shall mean Krishak Bharati Cooperative Ltd. "SELLER" shall mean the person, firm or corporation to whom this Purchase Order is issued.

"ORDER" shall mean this Purchase Order and its attachments and exhibits. "GOODS" and/or "MATERIALS" shall mean the articles, materials, machinery, equipment, supplies drawings, data and other property and all services-including design, delivery, installation, inspection, testing and commissioning specified or required to complete the order.

2.0 ACCEPTANCE OF ORDER

This order is expressly conditioned on Seller's acceptance of all the terms and conditions hereof. The Seller shall return two copies of the order duly signed and accepted within 10 days of the receipt of the Purchase Order by him.

3.0 DEVIATIONS

This order shall be subject to these General Terms and Conditions and any additional/specific conditions referred to in the order, and no deviation shall be made from the requirement of the Order or from the General Terms and conditions unless deviations are approved in writing by the Purchaser.

4.0 ASSIGNMENT AND SUBLETTING

Except with the prior permission of the Purchaser, the Seller shall not assign or sublet this Order or any part thereof or any money due hereunder to any other manufacturer/vendor. Such permission if granted by the Purchaser will not, however, in any way relieve the contractual obligations of the Seller on whom the order has been placed.

5.0 DAMAGES

5.01 If for reasons not attributable to the Purchase or due to conditions constituting force majeure, as defined in this Purchase Order, the supply of equipment, and/or materials is not completed in accordance with the provisions hereof and in accordance with the delivery period as indicated in the body of the Purchase Order, it is agreed that the Purchaser shall be entitled to and the Seller shall pay to the Purchaser the following as mutually agreed damages, which are a genuine pre-estimate made by the parties of the loss and damages which the Purchaser would have suffered on account of such delay in delivery and as by way of mutually determined reasonable compensation to the Purchaser therefore after taking into consideration all circumstances and not as liquidated damages or penalty and without the Purchaser being required to establish and prove the actual loss/damage suffered by the Purchaser on account of such delay:

- a) The pre-estimated mutually agreed damages pursuant thereto shall be payable at the rate of ½% (half percent) per week subject to maximum 5% (Five percent) of total order value determined as below:-
 - i) Rs. _____ (Indian Rupees) _____) per week or part thereof's delay in the delivery of the equipment and/of materials in respect of which the price payable under the Purchase Order is payable in Indian rupees, and
 - ii) US Dollars _____) per week or part thereof's delay in the delivery of the equipment and/or materials in respect of which the price payable under the Purchase Order in US Dollars/Currency other than Indian rupees.
- b) The aggregate of such pre-estimated mutually agreed damages payable pursuant to this article of the aggregate of the total of the :
 - i) Indian rupees portion of the Purchaser Price payable under the Purchase Order for rupee portion of supplies; and
 - ii) US Dollars/Currency other than Indian rupees portion of the Purchase Price payable under the purchase order for the portion of supplies for which payment is in currency other than Indian Rupees.
- c) **For the purpose of sub clause (a) and (b) above.**
 - i) The Purchase Price shall include all contingencies and escalations, if any, payable by the Purchaser to the seller hereunder and
 - ii) The exchange rate as between US Dollars and other foreign currency under the Purchase Order for determining the 5% ceiling under Sub-Clause (b) (ii) above shall be the rate prevailing in India on the date on or before which, but for which delay, the delivery of such delayed portion of the equipment and/or materials would have been completed by the Seller.
- d) Save and except as provided in this Purchase Order and subject to the provisions of sub-clause (e) below and without prejudice to the Purchaser's right of termination hereunder, the pre-estimated mutually agreed damages payable pursuant to this Article shall constitute the remedy amongst others of the Purchaser for delay in delivery of the equipments and/or materials by the seller for reasons other than those attributable to the Purchaser or due to conditions constituting force majeure as defined in the Purchase Order.

- e) Notwithstanding anything to the contrary in this Purchase Order and without prejudice to the right of the purchase order and its entitlement to the said pre-estimated mutually agreed damages and in addition and not in derogation or substitution thereof the Purchaser shall be entitled to terminate the Purchase Order in whole or in part without being liable to the seller in any manner whatsoever or to have the undelivered portion of the equipment and/or materials to be supplied pursuant hereto by the seller supplied and delivered at the risk and cost of the seller and without being liable to the seller in any manner whatsoever if at the end of and despite 30 (thirty) days notice in writing the seller fails to deliver all or any part of the equipments and or materials to be supplied pursuant hereto by the seller within and in accordance with the delivery schedule, (the time for completion) including such extended period as may have been allowed by the Purchaser.

5.02 Damages for failure to meet Performance Guarantee

If for reasons not attributable to the purchaser or due to conditions constituting force majeure as defined in the contract, there is a short fall in the guaranteed output or the consumption of raw materials or utilities is in excess of the guaranteed consumption thereof or there is deficiency in the guaranteed produce quality, all as guaranteed hereunder, it is agreed that the purchaser shall be entitled to and the Seller shall pay to the purchaser the following as mutually agreed damages (which are a genuine pre-estimate made by the parties of the loss and damages which the purchaser would have suffered on account of such short fall in the guaranteed output or the consumption of raw materials or utilities is in excess of the guaranteed consumption thereof or there is deficiency in the guaranteed product quality and as by way of mutually determined reasonable compensation to the purchaser thereof after taking into consideration all circumstances) and not as liquidated damages or penalty and without the purchaser being required to establish and prove the actual loss/ damage suffered by the purchaser on account of such delay:

a) **Damages in shortfall in guaranteed output**

For every 1% (one percent) or part thereof shortfall in daily/hourly output from the guaranteed hereunder subject to a maximum shortfall of % (percent), the Seller shall pay to the purchaser pre-estimated mutually agreed damages pursuant hereto at the rate of 0.5% (half percent) of the contract price inclusive of all contingencies and escalation, if any, payable by the purchaser to the Seller hereunder. The Aggregate of such pre-estimated mutually agreed damages payable pursuant to this article for shortfall in daily/hourly output from the output guarantee hereunder shall, it is agreed, be subject to a maximum of 2.5% (two and half percent) of the Aggregate of the total of the contract price inclusive of all contingencies and escalations, if any, payable by the purchaser to the Seller hereunder. The said pre-estimated mutually agreed damages shall be paid in (Currency).

b) **Damages for failure to get utilities consumption guarantees**

For every 1% (one percent) or part thereof excess consumption of utilities per Tonne/hour guaranteed hereunder subject to a maximum excess consumption of % (percent), the Seller shall pay to the purchaser per-estimated mutually agreed damages pursuant hereto at the rate of 0.5% (half percent) of the contract price inclusive of all contingencies and escalations, if any, payable by the Purchaser to the Seller hereunder. The Aggregate of such pre-estimated mutually agreed damages payable pursuant to this article for excess consumption of utilities of utilities per guaranteed hereunder shall, it is agreed, be subject to a maximum of 2.5% (Two and half percent) of the Aggregate of the total of the contract price inclusive of all contingencies and escalations, if any, payable by the purchaser to the Seller hereunder. The said pre-estimated mutually agreed damages shall be paid in (Currency).

- c) The obligation of the Seller under the various above sub-clauses are independent of each other and accordingly the maximum limits of pre-estimated mutually agreed damages set out under each of the said sub-clauses are separate provided, however, the Aggregate liability of the Seller under above mentioned clauses shall be limited to 5% (five percent) of the total of the contract price inclusive of all contingencies and escalations, if any payable by the purchaser to the Seller hereunder.
- d) Save and except as provided in this contract and subject to the provisions of clauses "e" and "f" below and without prejudice to the purchaser right of termination hereunder, the pre-estimated mutually agreed damages payable pursuant to this article shall constitute the sole and exclusive remedy of the purchaser for the Seller's delay/failure to deliver the goods, complete / execute / perform the work or to meet the guarantees of output and utility consumption given hereunder by the Seller for reasons other than those attributable to the purchaser or due to conditions constituting force majeure as defined in this contract.
- e) Notwithstanding any thing to the contrary contained in this contract and without prejueice to the rights of the purchaser under this contract and its entitlement to the said pre-estimated mutually agreed damages and in addition and not in derogation or substitution thereof the purchaser shall be entitled to terminate this contract in whole or in part without being liable to the, Seller in any manner whatsoever or to have the undelivered portion of the goods supplied and delivered, unexpected/delayed portion of the work to be completed / executive / performed or to have the defect or deficiency resulting in or because of which there is shortfall in daily/hourly output of the product excess consumption of utilities per tonne/hour from that guaranteed hereunder rectified/remedied, all at the risk and cost of the Seller and without being liable to the Seller in any manner whatsoever in the event of and despite 30 (thirty) days notice in writing the Seller failing to supply/delivery/complete execute/perform/remedy/rectify all or any part of the same.

f) The maximum Limits of

- i) Shortfall in daily/hourly output from the output guaranteed hereunder:
- ii) Excess consumption of utilities per tonne/hour from that guaranteed hereunder, and:
- iii) Set out in clause "a" and "b" herein above shall be deemed to be the minimum performance parameters guaranteed under this contract by the Seller hereunder notwithstanding anything to the contrary contained herein and accordingly it is agreed that in the event of the performance being below the said minimum performance parameters guaranteed under this contract herein and accordingly it is agreed that in the event of the performance being below the said minimum performance parameters guaranteed under this contract the Seller shall notwithstanding anything to the contrary contained herein and without prejudice to its obligation to pay damages pursuant to clause "a" and "b" hereof and without any limitation whatsoever remedy and/or rectify as its cost and expense all defects and/or deficiencies to bring the performance upto the said minimum performance parameters.

5.03 In case of delay in supply of technical documents total contract price shall be reduced @ 0.1% per complete week of delay subject to a maximum of 0.5%.

6.0 FORCE MAJEURE

The terms and conditions mentioned herein below shall be subject to the Force Majeure which shall mean and be limited to the following:

- a) Any war or hostilities;
- b) Any riot or civil commotion;
- c) Any earthquake, flood, tempest, lightning or other natural physical disaster, impossibility of the use of any Railway, Port, Airport, Shipping services or other means of transport;
- d) Any strike or (lock-out (only those exceeding 10 continuous days in duration) affecting the performance of the Seller's/Purchaser's obligations.

7.0 TERMS OF PAYMENT

Unless otherwise specified in the Purchase Order, the terms of the payment will be within 30 days of the receipt and acceptance of the material at site.

8.0 MODE OF DESPATCH

Unless otherwise specified in the Purchase Order, the material shall be despatched by rail/road and the despatch documents alongwith a copy of the invoice will be mailed directly to the Purchaser for the attention of the Jt.G.M.(Comm) / the authority signing the order.

9.0 INSPECTION

If the Purchase Order specifically requires Purchaser's inspection, the Seller shall advise the Purchaser in writing at least 15 days in advance of the date when the materials will be ready for inspection. However, the inspection or its being dispensed with by the Purchaser will in no manner absolve the Seller of his responsibility of quality and workmanship of the materials covered under the order.

10.0 PATENT RIGHTS

The Seller shall fully indemnify the Purchaser, its customers and users, against any action, claim or demand, costs of expenses, arising from or incurred by reason of any infringement or alleged infringement of letters, patent, trade mark or name, copyright or other protected rights in respect of any materials supplied. All royalties and the like payment shall be the liability of and be paid directly by the Seller.

11.0 SPECIFICATIONS

All materials or equipments shall supplied strictly in accordance with the specifications, drawings data sheets other attachments and conditions stated on the order. No deviations from such specifications or alterations of these conditions shall be made without the Purchaser's agreement in writing which, must be obtained before material is placed on manufacture or any work commenced.

12.0 TAXES, DUTIES ETC.

Unless otherwise specified in the Purchase Order all taxes, duties and octroi will be borne by the seller.

13.0 TRANSIT RISK INSURANCE

The transit risk insurance from the Seller's workshop or place upto the time of delivery to the Purchaser's site or office shall be comprehensively covered by the Seller unless otherwise specified in the purchase order.

14.0 GOVERNING LAW AND JURISDICTION

All actions at law or suits arising out of, or in connection with this order or the subject matter thereof and whether as to construction or otherwise shall be instituted in a court of competent jurisdiction in Delhi.

15.0 RESOLUTION OF DISPUTES/ARBITRATION

- i) The OWNER/PURCHASER and the SELLER shall make every effort to resolve amicably by direct informal negotiations any difference or dispute arising between them under or in connection with the Purchase order.
- ii) If after thirty (30) days from the commencement of such informal negotiations, the OWNER/PURCHASER and the SELLER have been unable to resolve amicably the dispute, either party may require that the dispute be referred for resolution to the formal mechanisms as specified hereunder.

15.1 LEGAL CONSTRUCTION

Subject to provisions of Article 15.2, the Purchase Order shall be, in all respects, construed and operated as an Indian Contract and in accordance with Indian Laws in force for the time being and is subject to the jurisdiction of Delhi Courts.

15.2 ARBITRATION

All disputes which, cannot be settled by mutual negotiations, shall be referred to and determined by arbitration, venue for which shall be New Delhi, India.

- a) The Arbitral Tribunal shall consist of three arbitrators to be appointed as per the provisions of Arbitration and Conciliation Act, 1996.
 - i) The claimant shall nominate an Arbitrator and may by notice in writing call on the other party to nominate an Arbitrator within 60 Days of the notice, failing which such Arbitrator shall be appointed as per the provisions of the above Act.
 - ii) The third Arbitrator, who shall serve as Chairman of the Tribunal, shall be appointed by agreement between the parties.
- b) The Arbitration proceedings shall be governed in accordance with the provisions of Arbitration and Conciliation Act, 1996.
- c) As soon as practicable after being constituted,
 - i) the tribunal shall hold a preliminary meeting with the representative of the parties for the purpose of establishing the procedure to be followed
 - ii) the tribunal shall, in determining the procedure to be followed, observe the following provisions:-
 - ⇒ The Language of the proceeding shall be in English;
 - ⇒ The parties shall have the right to present oral testimony of witness of fact; and
 - ⇒ If either of the parties fail within the prescribed time to appear or to present in case at any stage of the proceedings, the tribunal may of its own motion or at the request of either party after giving reasonable notice to each party, proceed with the arbitration and make an award.
- d) All the decisions of the tribunal shall be by Majority vote. All awards, interim or final, shall be in writing and signed by each Arbitrator and shall state the reasons upon which the award is based. In the event, that one Arbitrator refuses to sign the award, the two arbitrators forming the majority shall state in the Award the circumstances in which the signature of the remaining Arbitrator has been withheld.
- e) The tribunal shall keep a record of all its proceedings and decisions and a record of all evidence, whether from experts or witnesses of fact, at oral hearings.

16.0 CORRESPONDENCE

All correspondence concerning the Order shall state the Order Number and shall be submitted in duplicate addressed to the concerned Office/Unit/Project of Krishak Bharati Cooperative Ltd. for attention of Manager (Mats)/authority signing the order.

17.0 DOCUMENTATION

Documentation shall be submitted as called for in the order.

18.0 ORIGIN AND TEST CERTIFICATE

The Seller will supply copies of Test Certificates for materials and equipments as called for in the order. Such certificate shall clearly state the Purchase Order Number, Item and Equipment Number.

19.0 FIXED PRICE

All prices shall be fixed for the duration of the order including the period of any extension thereof and shall not be subject to escalation of any description during the said duration, including any extension thereof notwithstanding any change in the cost of materials and/or labour, which may take place while the order is being executed, even though it might be necessary for the Seller for any reason whatsoever to taken longer delivery period than indicated in the order.

20.0 PACKING AND DESPATCH

All packing, boxing, crating and protection shall conform to the specification or requirements of the order. The Seller shall be held liable for damage or breakage to the goods due to defective or insufficient packaging. Markings as specifically advised in the Order or Despatch instruction shall be done by seller in delible paint and in such manner to ensure that the same is clearly visible.

21.0 DESPATCH/DELIVERY

All goods shall be despatched by rail/road/air freight paid and the Railway Receipt/Lorry Receipt/Air Consignment note shall be posted to the concerned incharge of Krishak Bharati Cooperative Ltd. as detailed in the order.

22.0 SHIPPING/DESPATCH DOCUMENTS

The shipping/despatch documents will consist of:

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|------|-----------------------------------|----------|
| i. | Challan | 3 copies |
| ii. | Packing list | 3 copies |
| iii. | Test Certificates | 3 copies |
| iv. | Invoice | 4 copies |
| v. | Railway/Lorry Receipt in Original | |

The original and two copies of the despatch documents shall be posted on the day of despatch to the Purchaser for the attention of Manager (Finance and Accounts).

23.0 INVOICES

Three copies of each invoice made out in the name of the Purchaser shall be posted to the concerned Unit of Krishak Bharati Cooperative Ltd. for the attention of Manager (Finance and Accounts) immediately after despatch has been made.

The invoice shall show clearly whether they cover "part order", balance order" or "complete order" and shall include the item, number as well as order number. Net prices shall be shown on invoices. Cash discount shall be described as such and each invoice shall show advance and progress payments which have been previously received by the Seller.

24.0 DEFAULT

In the even of any default of SELLER to comply with any of the provisions or requirements hereof, Purchaser shall have the right to terminate and cancel PURCHASE ORDER with or without notice and without prejudice to any other rights, elections, or remedies Purchaser may have and Purchaser shall be relieved from any further obligations to SELLER hereunder. In the event of such cancellation of PURCHASE ORDER. Purchaser shall be entitled to arrange for the procurement of equipment, materials and services from alternate suppliers at the risk and cost of the SELLER. The waiver of one default shall not be considered an automatic waiver of any other default.

25.0 TERMINATION

KRIBHCO reserves the right to terminate or cancel this order in whole or in part by written or telegraphic notice to SELLER at any time prior to despatch of shipment from SELLER's premises. KRIBHCO shall pay SELLER his actual out of pocket costs including reasonable termination expenses in connection with cancellation as approved by KRIBHCO less previously paid progress payments upto the date of notifications. Upon settlement of cancellation costs, title to all affected goods, both completed and incompletd, shall pass to KRIBHCO and SELLER shall safely hold the same for a reasonable time subject to receipt of KRIBHCO's written shipping instructions or other disposition instructions. However, this article shall not be applicable in case of termination by KRIBHCO due to default by SELLER.

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